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5. Supplementary Role

MSMEs play a complementary role to serve as a feeder to large scale industries. They supply accessories, spare parts and components to large scale industries.

6. Establishment of Socialistic Pattern of Society

MSME sector contributes towards the establishment of socialistic pattern of society by reducing the concentration of income and wealth. It enables and empowers people of small means to take up a gainful industrial activity, and thereby helps to achieve equitable distribution of wealth.

7. Balanced Regional Development

By encouraging MSMEs in industrially backward areas of India, balanced development can be achieved across all regions. It will also help greatly in preventing the people from migrating to cities and towns in pursuit of employment.

8. Promotion of Self Employment and Self Reliance Spirit

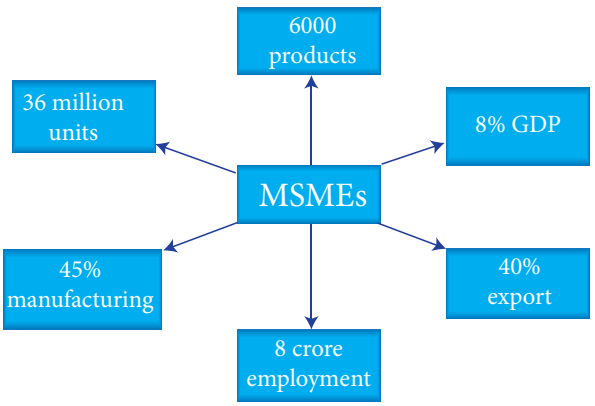
MSMEs help to a great deal in developing a class of entrepreneurs. It promotes self employment and a spirit of self reliance in the society, thereby contributing an increase in per capita income or economic development.

9. Higher Contribution to Manufacturing and Export

MSMEs contribute 45% to the total manufacturing output and 40% to the exports from the country. It helps in earning precious foreign exchange in various countries across the world.

21.03 Contribution of MSMEs to Indian Economy

The MSME Sector contributes about 8% to Gross Domestic Product (GDP) besides 45% to the total manufacturing output and 40% to the exports from the country on the production of more than 6000 products. This Sector consists of 36 million units and provides employment to over 8 crore people.



21.04 MSME Sector in Tamil Nadu

In Tamil Nadu MSMEs sector produces a wide variety of products in almost all fields. The prominent among them are the textile, electronic products, engineering products, auto ancillaries, leather products, chemicals, plastics, garments, jewellery etc. There are 12.94 Lakh registered number of units of MSMEs in the State, providing an employment opportunities to about 81 Lakh people. (source cms.tn.gov.in - 12.12.2017)

New Entrepreneur-cum-Enterprise Development Scheme (NEEDS)

Government of Tamil Nadu launched "New Entrepreneur-cum-Enterprise Development Scheme(NEEDS)" with a view to encouraging the educated youth to become the first